

Scalping with a moving average is quite effective as it enables you to profit from the price-MA relationship. Whenever the price irrationally goes away from the moving average in the first 2-3 candles that is where this strategy is the most effective. Let us look at some examples now.

As you can see in the image below, the price has opened above the moving average and making higher highs. This alerts me to keep an eye on the market until my entry is triggered. My entry is triggered on the 9th candle which broke the previous low. I will keep my stoploss above the high of the red candle and a risk to reward ratio of 1:3 or 1:4



This scenario gets even better. As the 3rd candle is followed up with a bunch of bullish candles, I am likely to get a better entry point. Notice how my entry is triggered with an Evening Star pattern. This is where I will short the Nifty 50 because the low of the bullish candle got violated.

I will be keeping the stoploss on the high of the Doji candle and aim for at least 1:3 risk to reward ratio.